

Interview Feedback

Brew & Bean Profitability · 2026-10-05 · Overall: needs work

Top improvement

Learn to commit to a hypothesis-driven recommendation with imperfect data: when asked what to do, lead with an answer, explain how the missing data would refine it rather than block it, and name the risk. For example: 'Raise prices selectively, since COGS drove 16 of 18 points and prices have been frozen two years; I'd test elasticity in a few markets first.'

Rubric Scores

Problem Structuring

adequate

What went well

You opened with a clear hypothesis anchored in the case facts before laying out buckets.

"Since revenue is up 15% but margin collapsed from 24% to 6%, this is almost certainly a cost story, but I want to confirm the revenue side isn't hiding something."

You prioritized the cost branch and gave a reason tied to the data.

"I'd prioritize costs first. Revenue grew 15%, so demand isn't the obvious problem, and a drop from 24% to 6% is 18 points of margin — that's huge."

What needs work

When challenged on MECE, the candidate correctly spotted that mix overlapped revenue and cost and rebuilt the framework into price × volume versus fixed/variable costs, but the overlapping mix bucket needed an interviewer prompt to catch, and the objective (find the root cause and reverse it) was never restated.

"Third, mix: has the product or channel mix shifted toward lower-margin items?"

"I think it's close to MECE, though mix isn't fully clean — it's really a driver that shows up inside both revenue and cost, not a separate bucket."

Structure disappeared entirely once the case moved to solutions: you never built a lever tree, and the profit = revenue − cost split only surfaced after a Level 2 hint.

"I don't really know where to start."

"Raise prices or cut costs. But I can't say which without the breakdown."

Missed opportunities

Turn 1 opening, before the buckets.

A great answer: "The CEO wants to know why margin fell 18 points despite 15% revenue growth, and how to reverse it. Profit is revenue minus costs. On revenue I'd split price versus volume per store. On costs I'd look at COGS, labor, and overhead. Given revenue grew, I'd start with costs, and I'd also check whether peers face the same squeeze and whether we've used our pricing power."

Turn 14, when the interviewer asked for 'a structured set of ideas'.

A great answer: "I'll split levers into revenue and cost. Revenue: price and mix. Cost: procurement and operations. Then I'll prioritize by impact and speed."

Quantitative & Analytical Rigor

strong

What went well

You stated your unit of analysis, narrated each step, and reconciled the cost moves against the margin drop as a sanity check.

"Sure. I worked in margin points on today's revenue base."

"16 plus 2 is 18, so the two together fully account for it, and COGS is 16 of 18, about 89%."

The candidate handled the nested percentage correctly, converting bean share into points of revenue and backing out the implied ~40% bean increase (14.7/10.5 H 1.4), but never stated the punchline: beans add only ~4.2 points while other inputs add ~11.8, so beans explain about a quarter of the COGS jump.

"beans were 25% of COGS, so 25% of 42, about 10.5 points of revenue."

"It's actually 58%, so beans are around 14.7 points — call it a 40% increase."

"So both inputs inflated, and with menu prices frozen for two years, none of it got passed through."

You translated the numbers into dollars and a business implication.

"That 16 points on \$480M is about \$77M of margin — and total margin decline is 18 points, so COGS explains roughly 90% of the problem."

"So both inputs inflated, and with menu prices frozen for two years, none of it got passed through."

What needs work

You never applied the math to the solution side, such as sizing what price increase would offset the cost rise, even when the interviewer pointed you toward price.

"I'm not sure. I'd want the COGS breakdown before touching price."

Missed opportunities

Turn 7, right after deriving 53.8% and 14.7 points.

A great answer: "So beans add only about 4.2 points and the other inputs about 11.8. Roughly three-quarters of the squeeze is dairy, packaging, and food, so a bean-only hedge won't fix this."

Turns 24–31, when the interviewer pointed at frozen menu prices.

A great answer: "Fully restoring COGS to 42% would need about a 38% price rise (58/42), which isn't realistic. A 10% increase with costs held flat lifts margin from 6% to about 14.5% (194/110), so pricing closes roughly half the gap and procurement has to close the rest."

Data & Exhibit Interpretation

strong

What went well

You read every line of the cost data, isolated COGS as the driver, and quantified its share.

"COGS is clearly the driver. It moved 16 points, from 42% to 58%, while overhead moved 2 and labor was flat."

On the exhibit you added the trajectory insight and a forward-looking implication.

"COGS rose 8 points each year, 42 to 50 to 58 — linear, not a one-time shock."

"What it adds is that this is a steady, ongoing squeeze rather than a single bad contract year, and at this run rate they'd be near zero margin next year."

You proposed a precise next step, asking what is inside COGS and whether prices had moved.

"Do we have a split of COGS by input — beans, dairy, packaging — and separately, has Brew & Bean changed menu prices at all in the last two years?"

What needs work

You over-read flat labor share as evidence of new store openings, which the unchanged 200-store footprint contradicted.

"Also, since labor held at 22% while revenue grew 15%, labor dollars grew with revenue — that points to new store openings rather than pure same-store price or traffic gains."

You never interpreted the store and ticket data you received in turn 12 (flat footprint, ticket +10% from more items per visit) before the case moved on.

"hmm, I'm not sure."

Missed opportunities

Turn 12, after learning the store count was flat and average ticket rose 10% from more items per visit.

A great answer: "So growth is same-store. With prices frozen, the 15% came from bigger baskets plus a few points of traffic. Customers are engaged and buying more, which suggests we have pricing headroom."

Business Judgment & Insight

needs work

What needs work

You offered no practical recommendation and treated imperfect data as a blocker, even when you held enough evidence to act on price.

"I'd tell them I need a more detailed COGS breakdown before recommending anything."

"I'm not sure. I'd want the COGS breakdown before touching price."

The candidate correctly recognized that frozen prices meant no cost pass-through, but over-extended the same fact to rule out a mix shift, even though a shift to higher-priced items needs no menu price change (the ticket in fact rose from more items per visit).

"Or a mix shift to higher-priced drinks that take the same labor minutes, which would lift revenue per labor hour but they'd have had to raise prices, and you told me prices are frozen."

"So both inputs inflated, and with menu prices frozen for two years, none of it got passed through."

"So labor is a non-issue."

You never surfaced risks or mitigations, such as price elasticity, competitor response, or supplier negotiation leverage.

"Raise prices or cut costs. But I can't say which without the breakdown."

Missed opportunities

Turn 26, when the interviewer asked what you would tell the CEO to do first.

A great answer: "Raise prices selectively, starting with specialty drinks where demand is less sensitive. Prices haven't moved in two years while input costs rose almost 40%. The risk is traffic loss, so I'd test in a few markets first and benchmark against competitors."

Creativity & Brainstorming

needs work

What needs work

You generated no ideas across many prompts and only named the two generic levers after a Level 2 narrowing hint.

"I don't know, I'd need more data."

"Raise prices or cut costs. But I can't say which without the breakdown."

Your ideas had no bucket structure, no non-obvious option, and no prioritization.

"I'm stuck, sorry."

Missed opportunities

Turn 14, 'give me a structured set of ideas rather than one.'

A great answer: "Revenue side: a selective price increase on specialty drinks, mix and upsell (we already see larger baskets), and surcharges on premium add-ons like alt-milk. Cost side: forward contracts and hedging on beans, renegotiating dairy and packaging with consolidated suppliers, and cutting waste. One less obvious idea: a lower-cost house blend for value-sensitive locations. I'd prioritize price first because it's fastest and biggest, then procurement."

Synthesis & Recommendation

needs work

What went well

During the analysis you gave crisp mini-syntheses that pulled the numbers together.

"So both inputs inflated, and with menu prices frozen for two years, none of it got passed through."

What needs work

You never committed to a recommendation, even after repeated direct asks and a Level 2 hint.

"I'd tell them I need a more detailed COGS breakdown before recommending anything."

"I don't know. I can't commit without that cost breakdown."

You gave no reasons, risks, or next steps for any course of action.

"I'm stuck, sorry."

Missed opportunities

Turn 32, 'Based on what you have, what would you tell the CEO to do?'

A great answer: "Raise prices 8–12% on specialty drinks and renegotiate supply across beans, dairy, and packaging. First, COGS drove 16 of the 18 points of margin loss. Second, prices have been frozen for two years. Third, most of the inflation sits in non-bean inputs. The key risk is losing traffic, so next step is a market-level price test and a sourcing review over the next 60 days."

Communication & Delivery

adequate

What went well

You used hypothesis-driven phrasing from the opening.

"Since revenue is up 15% but margin collapsed from 24% to 6%, this is almost certainly a cost story, but I want to confirm the revenue side isn't hiding something."

What needs work

In the first half the candidate was top-down and signposted, stating the structure before the detail, but in the second half communication collapsed into repeated non-answers that ignored the interviewer's cues.

"hmm, I'm not sure."

"I don't really know where to start."

"I'd break it into three buckets."

"COGS is clearly the driver. It moved 16 points, from 42% to 58%, while overhead moved 2 and labor was flat."

You repeated the same data request nearly verbatim instead of building on the reframes you were offered.

"I'm not sure. I can't commit without that COGS breakdown."

"I don't know. I can't commit without that cost breakdown."

Missed opportunities

Turn 22, when the interviewer offered the anchor facts and asked for 'just one lever'.

A great answer: "Building on those facts: the clearest lever is price. Costs rose and prices didn't, so I'd start there and refine once we see the elasticity data."

Pushback, Composure & Case Leadership

needs work

What needs work

The candidate handled early challenges well by acknowledging them, updating with reasoning, and proposing tests, but later ignored roughly ten successive hints and reframes, including a Level 1 anchor and a Level 2 narrowing hint, and still did not proceed.

"I'm not sure. I'd want the COGS breakdown before touching price."

"I'm stuck, sorry."

"Fair, it's not the only explanation."

"Do we have store count and transaction volume by year?"

You held rigidly to a data request the interviewer had said was unavailable, became passive, and stopped driving the case.

"I don't know. I'd need the volume-versus-price split in COGS first."

"I'd tell them I need a more detailed COGS breakdown before recommending anything."

Missed opportunities

Turn 28, 'Consultants rarely get the full breakdown, so you'd need to commit to a hypothesis-driven recommendation anyway.'

A great answer: "Understood. My working hypothesis is to raise prices selectively, because costs are up sharply and prices have been frozen. The COGS split would tell me how much procurement can add, but it doesn't change the pricing call. If elasticity turns out to be high, I'd shift weight to procurement."

Model Answer

Structure

Strong structure disaggregates profit = revenue - costs, then breaks revenue into volume × price and costs into COGS / labor / overhead / other. The candidate should hypothesize which bucket is the driver before asking for data. Bonus: asks about competitive context (are peers also seeing this?) and pricing power.

Recommendation

Primary recommendation: raise menu prices, which have not changed in two years while input costs rose about 38% — selectively, by 8–12% on high-margin specialty SKUs where demand is less elastic. Pair it with procurement across all inputs, not just beans: multi-year bean supply contracts plus renegotiated dairy and packaging supply, since beans explain only about a quarter of the COGS increase. Secondary: pilot a lower-cost 'commodity blend' for budget-conscious locations. Do not recommend blanket cost cuts — labor and overhead are already lean.

Full Transcript

Interviewer · 0:00

Your client is Brew & Bean, a specialty coffee chain with 200 locations across the US. Over the past two years, their net profit margin has declined from 24% to 6%, even though revenues have grown 15% over the same period. The CEO has hired us to identify the root cause of this profit decline and recommend how to reverse it. How would you approach this problem?

Take a minute if you need it, then tell me how you'd structure your approach.

Candidate · 1:30

Let me take a second to lay this out.

Since revenue is up 15% but margin collapsed from 24% to 6%, this is almost certainly a cost story, but I want to confirm the revenue side isn't hiding something.

I'd break it into three buckets. First, revenue quality: is the 15% growth coming from new store openings, higher traffic, or price? Growth from new stores could be dilutive if the new units are immature or in worse locations. Second, costs — split fixed versus variable. On variable I'd look at COGS, mainly coffee beans, dairy, and packaging, plus store labor. On fixed, rent, corporate overhead, and any D&A from the store buildout. Third, mix: has the product or channel mix shifted toward lower-margin items?

To start, could I get the P&L as a percent of revenue for both years, so I can see which line actually moved?

Interviewer · 1:33

Okay. Before I give you data, you've split this into revenue, costs, and mix. Hold that request; I'll come back to it shortly. Is that MECE, and which branch would you prioritize first, and why?

Candidate · 3:02

I think it's close to MECE, though mix isn't fully clean — it's really a driver that shows up inside both revenue and cost, not a separate bucket. I'd fold it under revenue as price-per-unit times volume, and keep costs separate as fixed versus variable. That's cleaner.

I'd prioritize costs first. Revenue grew 15%, so demand isn't the obvious problem, and a drop from 24% to 6% is 18 points of margin — that's huge. If revenue were flat and costs were flat, margin wouldn't move at all. So something on the cost side is scaling faster than revenue, or a fixed-cost block got added. I'd start by seeing which cost line grew fastest relative to revenue, then drill into that one.

Interviewer · 3:04

Total revenue is \$480M a year. COGS is 58% of revenue today, up from 42% two years ago. Labor is 22% of revenue, and it's been stable. Overhead is 14% of revenue, up slightly from 12%. Take a look at those lines. Which cost line moved the most, and what does that tell you about where to dig next?

Candidate · 4:34

COGS is clearly the driver. It moved 16 points, from 42% to 58%, while overhead moved 2 and labor was flat. That 16 points on \$480M is about \$77M of margin — and total margin decline is 18 points, so COGS explains roughly 90% of the problem.

Two points of overhead is about \$10M, which rounds out the rest. So labor is a non-issue.

Now, COGS as a percent of revenue rising means cost per unit sold is outpacing price per unit. That could be input cost inflation — green coffee and dairy prices — or waste and spoilage, or a mix shift toward ingredient-heavy drinks, or they've held menu prices flat while costs rose.

Do we have a split of COGS by input — beans, dairy, packaging — and separately, has Brew & Bean changed menu prices at all in the last two years?

Interviewer · 4:36

Coffee beans were 25% of COGS two years ago. Other input costs — dairy, packaging, and food — are up 37.5% over the past two years. Menu prices have not changed in two years. You put the COGS move at about 90% of the margin decline. Walk me through how you got there.

Candidate · 6:06

Sure. I worked in margin points on today's revenue base.

Total margin fell 18 points, 24% to 6%. COGS rose 16 points, 42% to 58%. Overhead rose 2 points, 12% to 14%. Labor flat. 16 plus 2 is 18, so the two together fully account for it, and COGS is 16 of 18, about 89%.

In dollars, 16 points on \$480M is about \$77M, and 2 points is about \$10M.

And layering in what you just gave me: beans were 25% of COGS, so 25% of 42, about 10.5 points of revenue. The other inputs were 31.5 points, and up 37.5% they'd be about 43.3 points. If beans were flat, COGS would be roughly 53.8%. It's actually 58%, so beans are around 14.7 points — call it a 40% increase.

So both inputs inflated, and with menu prices frozen for two years, none of it got passed through.

Interviewer · 6:08

Here's a one-page view of the cost structure over time. What does it tell you, and does anything in it change or confirm what you've just derived?

[\[Exhibit shown: Brew & Bean Cost Structure Over Time\]](#)

Candidate · 7:39

This confirms the derivation and adds a trajectory point. COGS rose 8 points each year, 42 to 50 to 58 — linear, not a one-time shock. Overhead crept a point a year. Labor is flat at 22 across all three years, which is notable: if traffic were collapsing you'd expect labor to deleverage, so volume is probably holding up, consistent with the 15% revenue growth.

Profit fell 9 points then 9 points, matching the 8+1 cost increases each year. Nothing here contradicts what I had.

What it adds is that this is a steady, ongoing squeeze rather than a single bad contract year, and at this run rate they'd be near zero margin next year. Also, since labor held at 22% while revenue grew 15%, labor dollars grew with revenue — that points to new store openings rather than pure same-store price or traffic gains.

Interviewer · 7:40

Okay. You've said labor holding at 22% points to new store openings. That's an inference — what else could produce flat labor as a share of revenue, and how would you test it?

Candidate · 9:10

Fair, it's not the only explanation. Flat labor share could also come from same-store volume growth where they staffed up proportionally — hourly labor scales with transactions. Or wage inflation offsetting a volume decline, so dollars rise while units fall. Or a mix shift to higher-priced drinks that take the same labor minutes, which would lift revenue per labor hour but they'd have had to raise prices, and you told me prices are frozen. So that one's mostly ruled out.

To test it, I'd want store count by year and revenue per store. If store count drove the 15%, same-store revenue is roughly flat. I'd also want transaction volume and average ticket — if tickets are flat on frozen prices, then growth is all units.

Do we have store count and transaction volume by year?

Interviewer · 9:13

200 stores today — and it was 200 stores two years ago, so the footprint hasn't changed. The average transaction is \$6.80, up from \$6.20 two years ago — about a 10% increase, because customers are buying more items per visit. I don't have transaction volume as a separate cut. Beyond what we've discussed, what else could the client do to reverse this?

Candidate · 9:33

hmm, I'm not sure.

Interviewer · 9:34

Take a minute. Think about the different levers this business has, and give me a structured set of ideas rather than one.

Candidate · 10:01

I don't know, I'd need more data.

Interviewer · 10:04

Take your time. The question on the table is what the client could do to reverse the margin decline, using what we already know, and a structured set of ideas is fine even without more data. Start with whichever lever feels most natural to you.

[\[Exhibit shown: Brew & Bean Cost Structure Over Time\]](#)

Candidate · 10:33

I can't commit without a more detailed breakdown of COGS.

Interviewer · 10:35

That's not in the information I have beyond what you've seen. Which one specific cut of COGS would you want, and what would it change about the options you'd propose?

Candidate · 11:11

I'd want beans split from dairy, packaging, and food — and within each, price per unit versus volume used. Without that I can't tell inflation from waste, and the options differ.

Interviewer · 11:15

Raw coffee bean costs are up 40% over the past two years. That's the closest I have; I don't have the per-unit versus volume split within each input. Using what you now have, what are the levers the client could pull to reverse this? Average revenue per store is \$2.4M a year. Take a moment, then walk me through them.

Candidate · 11:39

I'm stuck, sorry.

Interviewer · 11:42

That's fine. Start from the facts you've already derived: input costs are up sharply, menu prices haven't moved in two years, and the footprint is unchanged. Give me just one lever you'd consider, and why.

Candidate · 11:57

I don't know. I'd need the volume-versus-price split in COGS first.

Interviewer · 11:59

I don't have that split, so we work with what's on the table. Menu prices haven't changed in two years while input costs rose sharply. What does that suggest to you about a lever on the revenue side?

Candidate · 12:14

I'm not sure. I can't commit without that COGS breakdown.

Interviewer · 12:16

If the CEO asked you today what to do first, what would you tell them?

Candidate · 12:33

I'd tell them I need a more detailed COGS breakdown before recommending anything.

Interviewer · 12:36

Consultants rarely get the full breakdown, so you'd need to commit to a hypothesis-driven recommendation anyway. Based on what you've already worked out, give me one action the CEO could take, and your reasoning.

Candidate · 12:49

I don't really know where to start.

Interviewer · 12:51

Let's make it concrete. Costs have risen, but the price customers pay hasn't changed in two years. What would you do about the price customers pay?

Candidate · 13:15

I'm not sure. I'd want the COGS breakdown before touching price.

Interviewer · 13:18

Based on what you have, what would you tell the CEO to do?

Candidate · 13:42

I don't know. I can't commit without that cost breakdown.

Interviewer · 13:44

Let's simplify. Margin is revenue less costs, so there are two basic ways to fix a squeeze like this. What are they?

Candidate · 14:01

Raise prices or cut costs. But I can't say which without the breakdown.

Interviewer · 14:03

Okay. Pick one of those two and tell me what you would do, and what you'd want to be true before you did it.

Candidate · 14:22

I'm stuck, sorry.

Interviewer · 14:23

We'll stop there. Thanks for working through the case — your written report will follow.